The temporary peace between the two Companies ended in 1756 when another war between England and France broke out. In the very beginning of the war, the English managed to gain control over Bengal. This has been discussed later in this chapter. After this event, there was little hope for the French cause in India. The rich resources of Bengal turned the scales decisively in favour of the English. The decisive battle of the war was fought at Wandiwash on 22 January 1760 when the English general, Eyre Coot, defeated Lally. Within a year the French had lost all their possessions in India. The war ended in 1763 with the signing of the Treaty of Paris. The French factories in India were restored but they could no longer be fortified or even adequately garrisoned with troops. They could serve only as centres of trade; and now the French lived in India under British protection. The English, on the other hand, ruled the Indian sea. Freed of all European rivals, they could now set about the task of conquering India.

During their struggle with the French and their Indian allies, the English learnt a few important and valuable lessons. First, in the absence of nationalism in the country, they could advance their political schemes by taking advantage of the mutual quarrels of the Indian rulers. Second, the Western trained infantry, European or Indian, armed with modern weapons and backed by artillery could defeat the old-style Indian armies with ease in pitched battles. Third, it was proved that the Indian soldier trained and armed in the European manner made as good a soldier as the European. And since the Indian soldier too lacked a feeling of nationalism, he could be hired and employed by anyone who was willing to pay him well. The English now set out to create a powerful army consisting of Indian soldiers, called sepoys, and officered by Englishmen. With this army as its chief instrument and the vast resources of Indian trade and territories under its command, the English East India Company embarked on an era of wars and territorial expansion.

British Occupation of Bengal